

Term Life

Term insurance is pure insurance that offers a predetermined death benefit if you die within the term covered, but doesn't build up a cash value during your lifetime. The life insurance that many employers offer to their employees is generally term insurance that is in force only during your period of employment with the company. If you die during that time, your beneficiary receives the life insurance proceeds. If you leave the company, your policy terminates, unless you convert it to an individual policy.

If your employer doesn't offer term life insurance, you can buy a policy through an insurance agent. The cost will depend in part on your age, your health, and whether you smoke. A healthy thirty-year-old man could expect to pay approximately \$300 a year for \$300,000 of term life insurance. To buy the same amount of whole life insurance would cost over \$3,000.

Whole Life

Whole life is part life insurance and part investment. A portion of your premium goes toward the insurance coverage, a portion goes toward administrative fees, and a portion goes toward the cash value or investment. You have no control over how the insurance company invests the cash value. Unlike term insurance, whole life covers you for your entire life. The premiums remain fixed. You can borrow against the cash value or cash the policy in, but it takes a number of years to build up any real cash value because large commissions and fees eat up most of your premium in the early years. Some experts say you lose money if you cash in a whole life policy within the first twenty years.



The Wall Street Journal has reported that half of all cash value policies are surrendered or cashed in within the first seven years. This makes the coverage very expensive because it doesn't allow enough time for the cash value to build up enough to cover the initial commissions and fees.
